QUESTION 1: [RELATIONSHIP BTN A BANK & CUSTOMER]

UNDER WHAT CIRCUMSTANCES CAN THE RELATIONSHIP BETWEEN A BANKER AND A CUSTOMER COME TO AN END?

Answer:

The Financial Institutions Act, 2004 (as amended) defines "bank" to mean any company licensed to carry on financial institution business as its principal business, as specified in the 2nd Schedule to the Act such as receiving cash deposits, offering cash withdraw services e.t.c

On the other hand, a Customer is not defined in the statute but may be in (3) ways that is; as someone who has an account with a bank per the case of Iwa Kizito (Administrator of the Estate of the late Felix Charles Maku) vs. Equity Bank (U) Ltd & Mindra Josephine HCCS No. 36/2013; or one who intends to open up an account in the bank per the case of Woods v. Martins Bank Ltd [1959]; or as a person who enjoys the services offered by the bank per the Bank of Uganda Financial Consumer Protection Guidelines, 2011.

It is trite law that the relationship between a banker and his customer is one of contract. The supreme court of Uganda has viewed it that way in Esso Petroleum Co. v. Uganda Commercial Bank Civil Appeal No. 14 of 1992, the court ruled that the respondent was in breach of his duty emanating from the contractual relationship of banker/customer.

Notwithstanding the foregoing position of the law, it has for long been accepted that "what has been created by agreement may be extinguished by agreement" thus a Latin maxim ***"Eodem modo quo oritur, eodem modo dissolvitur"***

However, in usual banking practice, such mutual termination is rare and true to say is, banking contracts are usually terminated unilaterally. The unilateral termination may either take the voluntary action of either party closing the account or may result from involuntary occurrences like death, bankruptcy, mental incapacity or winding up of the customer or winding up of the bank, court orders or frustration by an intervening event;

1. **Closure of account by the customer on demand;** in such a case, a customer can close his or her account by simply demanding payment of the outstanding balance on the account. Several banks in Uganda require minimum deposit on the accounts. In such cases the customer has to request the bank to close the account and pay all balances on the account.

2. **Closure of Account by the Bank;** the bank can close its customer's account but can only do so upon giving reasonable notice to its customer. The requirement for giving reasonable notice before closure of the account is part of the contract between the bank and its customer. The principle was aptly stated by Atkin LJ. In Joachimson v. Swiss Bank Corporation [1921] 3 K.B. 110 that it is a term of the contract that the bank will not cease to do business with the customer except upon reasonable notice. The question of reasonableness depends on the facts.

3. **Bankruptcy of the Customer;** after the receiver or interim receiver is appointed by court in a petition for bankruptcy under the insolvency law, the bank can no longer honor cheques drawn by its indebted customer since the money on the account has to be preserved by the receiver for the benefit of all the creditors. The bankruptcy will have the effect of closing the account.

4. **Death of a Customer;** Under Section 74(b) of the Bills of Exchange Act (BEA), when a bank receives notice of its customer's death its duty and authority to pay cheques drawn on the bank by the customer is determined. A customer's death terminates the contract between the bank and such customer. Any balance on the account is treated like any other property of the deceased person and is vested in the legal representative of the deceased customer who is either executor or administrator under Section 180 Succession Act, CAP. 162.

5. **Mental Incapacity of the Customer;** Where a banker receives reliable information that its customer has developed a mental disorder, it is prudent practice for the banker to treat its mandate to honour such customer cheques as determined. The rationale for such practice is that a customer under mental disorder is incapable of consenting to an order to the banker to pay. Whatever cheque he or she signs in such a mental condition is in reality *non est factum* "not my deed".

6. **Winding up of the Customer;** Upon winding up of a company it ceases to have any legal existence and all its contractual relationships come to an end. The company is in that case as an individual. As soon as the bank learns of the passing of a resolution for winding up the company or the presentation of a winding up petition in court, it should not honour cheques drawn on the company's account. It should treat its mandate to operate the account as terminated.

7. **Winding up of the Bank;** Where a bank is wound up, it ceases to have legal personality and hence its contractual relationship with its customer is terminated. The bank's right to transact banking business will be terminated once the Central Bank revokes its license under the Financial Institutions Act, 2004. In such a case the bank ceases to exist and its relationship with the customer is terminated. The

customer who has credit balance is entitled to prove as creditor before the liquidator and get paid.

8. **Garnishee Orders;** Under **Order 20 rule 1** of the Civil procedure Rules SI 65-3 the court may on an *ex parte* application of a decree holder supported by an affidavit stating that the decree has been issued and is still unsatisfied to a stated amount and that another person within the jurisdiction is indebted to the judgment debtor, order that all debts accruing or owing from such third party person known as the garnishee, be attached to answer the decree and the cost of the garnishee proceedings. Service of decree *nisi* on a banker has the effect of binding the debts in the banker's hands. The bank should hence for the refuse to pay the cheques drawn by the customer even though it is known that the amount of the judgment debt is less than the balance standing to the customer's credit.

In conclusion, it is worth stressing that, the relationship between a banker and customer comes into existence when the banker agrees to open an account in the name of customer. It depends on the activities, products or services provided by bank to its customers or availed by the customer and thus their relationship is transactional.

QUESTION 2: [DUTIES OF A BANK & A CUSTOMER]

WITH HELP OF RELEVANT AUTHORITIES, CRITICALLY DISCUSS THE DUTIES OF THE BANKER TOWARDS THE CUSTOMER AND THE DUTIES OF THE CUSTOMER TOWARDS THE BANKER.

Answer:

Having precisely defined a bank and a customer in Question one, I should begin with the position of law as was observed in Mobil (U) Ltd v. Uganda Commercial Bank 1982 H.C.B 64, to the effect that, the legal principles which govern the relationship between a bank and a customer are well settle for their relationship, is purely contractual. This in essence implies that both the Bank and Customer by virtue of banking contract automatically owes each other duties as the discussion here below emphasize;

To begin with, the Customer by opening up an account with the Banker, impliedly begin to owe the following duties to the Banker;

1. **Duty of skill & reasonable care in making orders;** a customer must execute his order in a way that neither misleads the bank nor facilitates forgery. Lord Atkin in Joachimson v. Swiss Bank Corporation (1921) 3 KB 110, observed that it is a term of the contract between the bank and its customer that the customer undertakes to exercise reasonable care in executing his or her written orders so as not to mislead the bank or to facilitate forgery.

2. **Duty to inform the bank of any forgeries that that the customer is aware of;** In Greenwood v. Martins Bank Ltd (1932) I KB 371, the plaintiff had an account with the defendant bank. The wife had over a period of time forged her husband's signature. On the wife's request the husband refrained from notifying the bank of the frauds. When the husband threatened to notify the bank the wife committed suicide. The husband afterwards brought an action against the bank for the amount paid by them on forged signatures. The English Court of Appeal said that there is a continuing duty on either side to act with a reasonable care to ensure the proper working of the account. A customer to notify the bank about forgery and vice versa.

Likewise, the Banker, by accepting the Customer's instructions to open up a bank account, begins there and then to owe the following duties to its Customer;

1. **Duty to honor a customer's mandate;** as noted herein above, the customer has a duty to give a clear and unambiguous instructions to the bank and the bank as

such has an implied duty to honor its customer's cheques provided they are in proper form and presented during working hours as observed in Baines v. National Provincial Bank (1927) 96 KB 801.

2. **Duty of skill and care;** the bank should exercise reasonable care in carrying out the customer's operations. This duty is implied into a contract and covers wide range of banking business. This duty is confirmed by Section 18 of the sale of Goods and Supply of Services Act, 2017 also points at this duty, that a supplier must exercise skill and care while supplying services.

3. **The duty of skill and care may also arise where services are rendered outside the contract. (The fiduciary relationship);** The bank is not under obligations to give advice to its customer but if it takes upon itself to give it then it will be held liable for any negligence in the process giving rise to loss after the customer or another has relied on it. In Woods v. Martin Bank (1959) 1 QB 55, the manager of a bank advised the plaintiff to invest a substantial amount of money in shares of accompany whose excess overdraft was a matter of concern. The branch manager failed to disclose these facts to the plaintiff and the Plaintiff as such made loss. The bank pleaded that the plaintiff was not a customer and that it did not owe him a duty of care. Salmon J held that even though the banker-customer relationship had not been established at the time the advice was given, the bank, through its branch manager had assumed a fiduciary obligation towards the plaintiff when it agreed to act as his financial adviser.

4. **Duty of Secrecy/Confidentiality;** It is an implied term of the contract that the banker enters into a qualified obligation not to disclose information concerning the customers affairs without his or her consent. This position was extensively discussed in the locus classicus case of Tournier v. National Provincial and Union Bank of England (1924) 1 KB 461 and currently reinstated in Paragraph 7(3) of the Bank of Uganda Financial Consumer Protection Guidelines, 2011.

   However, there are situations where a duty of strict secrecy would clearly be inappropriate. Some of the exceptions were actually enumerated by Banks in Tournier's case. These include;-

   a) **Where disclosure is under the Compulsion of the law;** this exemption has been accepted in Bucknell v Bucknell (1969) 1 WLR 1204 it was decided that a bank may be compelled by law to disclose the state of its customer account in legal proceedings.

   b) **Where there is a duty to the public to Disclose;** this duty was described in the Tournier Case as where a higher duty than the private duty is involved e.g.

where danger to the state or public duty may supersede the duty of the agent to his principal.

c) **Where the Interest of the Bank require Disclosure:** a typical case is where a customer brings a suit against the bank. In such case, the bank will be allowed to reveal the customers affairs in court proceedings as part of its defense. Like it was the case in Sunderland v. Barclays Bank Ltd (1938) 5 LDAB 163.

d) **Where the Disclosure is made by Consent of the Customer;** the consent may be express or implied and may be general in the sense that the bank is permitted to disclose the general state of the customer's account or special in that the bank is entitled to supply only such information as is sanctioned by the customer.

Other duties which a bank has towards its customer include; a duty to provide accurate information under Paragraph 6(7)(a) and a duty to protect customer's account under Paragraph 7(4) of the Bank of Uganda Financial Consumer Protection Guidelines, 2011.

QUESTION 3: [COLLECTING AND PAYING BANKER]

DISCUSS DUTIES AND RESPONSIBILITIES OF A COLLECTING BANKER AND PAYING BANKER HIGHLIGHTING THEIR STATUTORY PROTECTION:

Answer:

On one hand a "**Paying banker**" is the one on whom a cheque is drawn. In other words the one which is required to pay the cheque drawn on it by a customer.

On the other hand, a "**Collecting banker**" is one who undertakes to collect the amount of a cheques and bills for its customer from the paying banker.

The duties, liabilities and protection of the banker depend on whether it is a paying or collecting bank. In most cases the same bank will perform both roles. However each role must be looked at separately in order to determine the banker's duties or liabilities and the statutory protection which is accorded to the banker.

1. The Obligation of the Paying Banker:

A paying Banker is bound to pay cheques drawn on it by its customer in legal form provided there is in the bank at the time sufficient funds standing to the credit of the customer and available for the purpose or provided the cheques are within the limits of an agreed overdraft. However such payment must be made reasonably just like it was stated in Lipkin Gorman v. Karpnle & Anor (1989) F.L.R. 137; that a reasonable banker would be justified in refusing to honour his or her customer's mandate if there was a serious or real possibility that its customer is being defrauded.

Otherwise a reasonable banker would be in breach of duty if it continued to pay without inquiry. In Babalola v. Union Bank of Nigeria Ltd 1980(1) ALR Comm. 201 the court held that the defendant bank was justified in refusing to honour the cheques, pending further investigations, where there was an obvious disparity between the signature on the cheques and the specimen signature.

Statutory Protection of a Paying Banker:

Section 58 of the Bills of Exchange Act (BEA) precisely states that a bill is discharged by payment in the due course by or on behalf of the drawee. Further states that payment in due course mean payment made at or after maturity of the bill to the holder thereof in good faith and without notice that his or her title to the bill is defective. Payment to any other person other than the holder is not payment in due course.

A strict application of Section 58 would make the banker to lose money. Thus Section 59 still of BEA came in to protect the paying bank as it is to the effect that when a paying bank pays a cheque 'in good faith and in the ordinary course of business' the banker is deemed to have paid the bill in due course, although such endorsement has been forged or made without authority. Section 89 of BEA additionally provides that a thing is deemed to be done in good faith where it is in fact done honestly whether it is done negligently or not.

2. The obligation of the Collecting Banker:

A collecting banker, as an agent for collection, must exercise reasonable care and diligence in presenting cheques for payment, in obtaining payment and crediting its customer's account, and if the customer suffers any loss through its negligence in these matters such as by its failure to credit its customers account promptly with the amount of the cheques cleared by the paying banker, it will be liable to the customer to the extent of the loss.

According to the supreme court of Uganda in the case of Esso Petroleum (Uganda) Ltd v. UCB Civil Appeal No. 14 of 1992 the banker fulfills its duty when the cheque is drawn on a bank in the same place, it either presents or forwards it on the following day.

Hence this means, that if the banker fails to present the cheque within a reasonable time after it reaches it, it is liable to its customer for loss arising from the delay and the drawer or the endorser, if any, is discharged if presentation is not made within reasonable time of its issue or endorsement.

The collecting banker is generally under a duty to give notice of dishonor with regard to cheques which have been dishonored on presentation by it.

Statutory Protection of a Collecting Banker:

The protection of a collecting banker is contained in Section 81 of the Bills of Exchange Act which provides that where a banker in good faith and without negligence, receives payment for a customer of a cheque crossed generally or specially to itself and the customer has no title or defective title thereto; the banker shall not incur any liability to the true owner of the cheque by reason only having received such payment.

It is clear from a number of cases that the onus is on the banker to prove that there has been no negligence on its part. In Lloyds Bank Ltd v. Savoy & Co. (1933) A.C. 201 the court said, that the only question is *whether the bank handled the cheques without negligence*. Unless such issue has been established in affirmative, the bank is responsible in damages for conversion if their customers had no title or a defective title.

Question 4:

DISCUSS THE LAW RELATING TO A HOLDER IN DUE COURSE.

Answer:

Section 28(1) Bills of Exchange Act (BEA) defines a holder in due course as a holder who has taken a bill, complete and regular on the face of it, under the following conditions namely; that he or she became the holder of it before it was overdue, and without notice that it had been previously dishonored, if that was the fact; that he or she took the bill in good faith and for value, and that at the time the bill was negotiated to him or her he or she had no notice of any defect in the title of the person who negotiated it.

1. Holder;

A holder in due course must be a holder. Section 1 defines a holder to mean a payee or endorsee of a bill or note who is in possession of it or the bearer thereof. Although a payee is a holder he or she cannot be a holder in due course. In Re Jones Ltd v. Waring and Gillow (1926) A.C. 670 the Court said that the expression 'holder in due course' does not include the original payee of a cheque.

2. Bill complete and regular on the face of it;

He or she must take the bill complete and regular on the face of it. This means that if any essential element in form is lacking the transferee cannot be a holder in due course. It appears that a cheque without a date is not invalid under Section 2(4)(a) but it is not complete and regular for purposes of Section 28 because regularity is a different thing form validity. The word 'face' as used in Section 28(1) means looking at the cheque, front and back without the aid of outside evidence it must be complete and regular.

3. No previous notice of dishonour of a cheque;

The third requirement is that to qualify as a holder in due course the transferee must have no previous notice of dishonour of a cheque. This can be illustrated by the facts of N.S. Rawal v. Rathan Singh & Anor (1956) 26 KLR. 98, In this case the appellant claimed shs. 350 from the respondent on a cheque drawn by the respondent to one Mohan Singh who gave it to one Hari Chand. Hari Chand presented the cheque to the Bank and it was dishonored and returned marked 'Refer to drawer' Hari Chand gave the cheque so marked back to Mohan Sign who referred it to the drawer, the respondent, Rattan Singh. The respondent said that he had no funds to meet the cheque. Some weeks later Mohan Singh (who had, at the time, notice of its dishonor) endorsed the cheque to the appellant allegedly for value. The appellants noticed at the time they took the cheque, that it had 'Refer to drawer' written upon it and that it was a dishonored cheque. *One of the issues was whether or not the appellants were holders in due course.* This was not decided as counsel for both sides agreed that the appellants were not holders in due course. The second issue was whether the appellants were holders. The court held that they were holders.

4. **Holder before the cheque was overdue**;

Under Section 35(3) BEA, a cheque is payable on demand and will be deemed overdue when it appears on the face of it to have been in circulation for unreasonable length of time. And what is unreasonable length of it is a question of fact. In Uganda and according to the Bank of Uganda clearing rules, a cheque is valid for a period of 6 months from the date of issue.

5. **Must have taken the cheque in good faith and for value**:

The fifth requirement to qualify a holder in due course is that the transferee must have taken the cheque in good faith and for value. Under Section 89 of the Bills of Exchange Act, a thing is deemed to be done in good faith where it is in fact done honestly whether it is done negligently or not and value under Section 1 to mean valuable consideration.

6. **No notice of defect in title of the person who negotiated it**:

The phrase defective title is not defined in the Act but Section 29(2) provides that in particular the title of a person who negotiates a bill is defective within the meaning of the Act, when he or she obtained the bill or acceptance thereof by fraud, duress or force and fear or other unlawful means or for an illegal consideration or when he or she negotiates in breach of faith or under such circumstances as amount to fraud.

Deriving Title through a Holder in Due Course; the most favored position of a holder in due course is contained in Section 28(3) BEA. A holder (whether for value or not) who derives his or her title to a bill through a holder in due course, and who is not himself or herself a party to any fraud or illegality affecting it, has all the rights of that holder in due course as regards the acceptor and all parties to the bill prior to that holder.

Presumption as to Holding in Due Course; It is stated in Section 29(1) that every party whose signature appears on a bill is prima facie deemed to have become a party to it for value. In Metalimpex v. A.G. levintis & Co. (Nig) Ltd 1976(1) ALR Comm. 20, the respondents contended that they had received no consideration for their purported endorsement of bills of exchange and could not therefore be liable. The supreme court of Nigeria said that every party whose signature appears on a bill is prima-facie deemed to have become a party thereto for value. Hence unlike other forms of simple contracts, bills of exchange (and promissory notes) are presumed to stand on the basis of a valuable consideration, on the basis of this presumption therefore the burden is on the party who alleges want of consideration to prove it.

a) **DISCUSS THE LAW RELATING TO A FICTITIOUS OR NON-EXISTING PAYEE.**

b) **DISCUSS THE DIFFERENT TYPES OF ENDORSEMENTS AND THE LAW RELATING TO THE ENDORSEMENT OF CHEQUES.**

Answer:

(a)

According to Black's Law Dictionary, a cheque or negotiable instrument is drawn to fictitious payee whenever payee named in it has no right to it and the maker does not intend that such payee shall take anything by it; whether name of payee used by maker is that of person living or dead.

The general rule as provided under Section 6(3) of the BEA is to the effect that where the payee is a fictitious or non-existing person, the bill may be treated as payable to bearer.

Lord Watson in an attempt of explaining this rule in the case of **Bank of England v. Vagliano Brothers (1891) AC 107,** was of the view that 'the language of the sub-section, taken in its ordinary significance, imports that the bill may be treated as payable in all cases where the person designated as payee on the account of it is either non existing or being in existence, has not and never was intended to have any right to its contents.

Bearer is defined in Section 1 of the Act to mean the person in possession of a bill or note which is payable to bearer.

In **Boma Manufacturing Ltd v. Canadian Imperial Bank of Commerce (1997) 23 CLB 740**, the Supreme Court of Canada stated the law in similar terms that the concept of a nonexistent person within the meaning of the equivalent Section 6(3) was that if the payee on a cheque was a matter of pure invention and not a real person then such payee was non-existent.

The rationale of the rule is that such bill could be negotiated by simple delivery and it is an exception to the normal rule of *nemo dat quad non habet* (no one gives who possesses not) and threw the loss to the drawer. The policy behind the fictious payee rule is that if a drawer drew a cheque payable to order, not intending that the payee receive payment, the drawer lost, by his or her conduct, the right of protection afforded to a bill payable to order and there was no reason why the defence of fictitious payee was not available to the collecting banker.

In **Clutton v. Attenborough & Sons (1897) A.C. 90**, an employer was fraudulently induced by the clerk to draw cheque in favour of nonexistent payees whose endorsement was forged by the clerk in favour of a bonafide transferee for value. The third party, the transferee, who acted in good faith obtained payment of the cheques. Clutton, after discovering the fraud sued the third party for money they had received. The court applied the rule equivalent to that under section 6 (3) and held that the money could not be recovered.

(b)

Section 1 of BEA defines endorsement as 'an endorsement completed by delivery. HOLDEN in his "LAW AND PRACTICE OF BANKING" defines endorsement as signature on a cheque, usually on the back, by the holder or his or her authorized agent, followed by delivery of the instrument, whereby the holder of a cheque payable to his or her order negotiates it to another person who takes it as a new holder.

Section 31 deals with validity of an endorsement and provides inter alia that in order to operate as a negotiation, an endorsement must be written on the bill itself and signed by the endorser and must be for in respect of the entire bill.

The simple signature of the endorser on the bill, without additional words, is sufficient. An endorsement can be blank, special, conditional or restrictive as discussed here below;

1. **Blank endorsement:** this is defined under Section 33(1) as one which specifies no endorsee with the effect that it is treated as payable to a bearer. It follows that such a cheque can be negotiated by delivery.

2. **Special endorsement:** this is defined under Section 33(2) as one which specifies the person to whom or to whose order, the instrument is to be payable. For instance, a cheque which is endorsed 'Pay to M' is specially endorsed. 'M', who is the endorsee, may negotiate it by endorsement and delivery. Under Section 33(4), holder may convert the blank endorsement into a special endorsement by writing above the endorser's signature a direction to pay the bill to or to the order of himself or herself or some other person.

3. **Conditional endorsement:** this is simply one coupled with a condition. Under section 32, where a bill purports to be endorsed conditionally, the condition may be disregarded by the payer, and payment to the endorsee is valid whether the

condition has been fulfilled or not. The effect is that a conditional endorsement is valid and operative as between the endorser and endorsee.

4. **Restrictive endorsements:** Section 34 provides that an endorsement is restrictive which prohibits the further negotiation of the bill or which expresses that it is a mere authority to deal with the bill as thereby directed and not a transfer of the ownership of the bill, as, for example, if a bill be endorsed "Pay D only", or "Pay D for the account of X", or "pay D or order for collection". In a restrictive endorsement, the document transfers ownership of the instrument to the endorsee but prevents further negotiations.

PROBLEM QUESTION ONE (

Brief Facts:

1. A cheque was drawn in Nancy's name by Busia High School and was presented on Tuesday **21st January 2021.**The Bank kept the cheque with Branch Manager's Secretary Ms. Sophia and when Nancy passed by the bank to check her accounts, the Secretary gave her back the cheque with the words "insufficient funds". On **27th January 2021**, Nancy took the cheque to Busia High School and demanded another cheque.

2. Papa Johnson banked a cheque worth 10 million shillings into his Stanbic bank account. The cheque was issued by DJ Khalid, who is also a customer with the same bank. 5 days later, Papa Johnson received a call from the bank that the cheque was not honoured because DJ Khalid instructed his bankers not to pay the cheque. Papa Johnson is so angry with his bankers that he wants to sue them. He believes that Stanbic bank has no defence at all for not collecting his 10,000,000/= from DJ Khalid.

3. In addition, Stanbic bank has informed Papa Johnson that it will exercise a lien in respect of his account balance until Papa Johnson pays the 5,000,000/= that he owes the bank for keeping his land titles and other important documents.

4. In addition, Papa Johnson stole a cheque worth 15 million shillings dated 22nd January 2021. The cheque's drawer was Mahmoud and the payee was Abdullahi. Papa Johnson forged Abdullahi's endorsement and transferred the cheque to himself (Papa Johnson). He then banked it on 23rdDecember 2021. The cheque was dishonoured. Papa Johnson intends to sue Mahmoud as a holder in due course.

Legal issues:

1. WHETHER NANCY IS ENTITLED TO ANOTHER CHEQUE.
2. WHETHER STANBIC BANK HAS NO DEFENCE AT ALL FOR NOT COLLECTING HIS 10,000,000/= FROM DJ KHALID.
3. WHETHER STANBIC BANK CAN EXERCISE A LIEN IN RESPECT OF PAPA JOHNSON'S ACCOUNT BALANCE.
4. WHETHER PAPA JOHNSON CAN SUE MAHMOUD AS A HOLDER IN DUE COURSE.

Laws Applicable:

1. THE 1995 CONSTITUTION OF REPUBLIC OF UGANDA [AS AMENDED].
2. THE BILLS OF EXCHANGE ACT CAP 68.
3. ALL RELEVANT CASE LAWS.

Applicability of Law:

1. ANSWERING ISSUE 1; Section 46(2) of the Bills of Exchange Act cap 68 provides that where a bill is dishonored by non-payment an immediate right of recourse against the drawer and endorser accrues to the holder subject to the provisions of the Act. A **holder** is defined by Section 1(i) as the payee or endorsee of a bill or note who is in possession of it, or the bearer of the bill or note; a **bill** is defined as a bill of exchange under Section 1(f) and a **Bill of exchange** is defined by Section 2(1) as an unconditional order in writing, addressed by one person to another, signed by the person giving it, requiring the person to whom it is addressed to pay on demand or at a fixed or determinable future time a sum certain in money or to the order of a specified person or to bearer. And a **cheque** is a bill of exchange under Section 72 thereof.

Section 47 of the Bills of Exchange Act provides that where a bill is dishonored by non-payment, notice of dishonour must be given to the drawer and such notice of dishonour is supposed to be given under Section 48(L) as soon as the bill is dishonored. It must be given within a reasonable time thereafter which is basically (2 days).

In Nanji Khodabhai v. Sohan Singh (1957) EA 291, a cheque was dishonored on the 25th April 1955 and notice of dishonor was not given until 29th April, 1995. The court held that the defendant was discharged because there were no special circumstances to justify any delay and notice should have been given on 26th April, 1955.

Putting the facts at hand into context, the cheques was presented to the bank on **21st January 2021,** the bank dishonored it and gave it to Nancy the Payee (Holder) and the latter gave notice to the drawer (Busia High School) on the **27th day of January 2021** (6 days later). This delay in communication of notice of dishonor as per the position of the law discussed above, discharged the drawer (Busia High School) and Nacy's right to recourse ceases under those the circumstances.

2. CONSIDERING ISSUE 2; As Hon. JUSTICE LAMECK N. MUKASA observed in Stanbic Bank (Uganda) Ltd v. Sino Africa Health Ltd, H.C.C.S 137 of 2004**,** One of the banker's basic obligations is to honour his customer's cheques, provided there are sufficient funds in the account. Another equally basic obligation of the banker is to obey his customer's instructions to countermand payment.

This is the position of the law under Section 74(a) of the Bills of Exchange Act, that the duty and authority of the bank to pay a cheque drawn on him or her by his or her Customer are determined by countermand of payment. Countermand is literary an order of a bank customer revoking instructions to pay or stopping payment to another Party. Though the collecting banker is under a duty to give notice of dishonor with regard to cheques which have been dishonoured on presentation by it, such duty is dispensed under Section 49 (2) (c) (v) of the Bills of Exchange Act where the drawer has countermanded payment.

Hence putting the present facts into context, Stanbic bank being the collecting and paying bank at the same time, exercised well its authorities and duties by not crediting Papa Johnson's account (Payee) after DJ Khalid's (Drawer) countermand of payment of the cheque.

3. RESOLVING ISSUE 3; It is trite law and as was rightly stated in the case of Re London and Globe Finance Corporation (1902) 2 Ch 416, that where a customer deposits securities with a banker, a banker's lien is created on the customer's securities deposited with that bank, unless there is an express or implied contract or circumstances in consistent with such a lien.

   As to what is a bankers lien, **Halsbury's Laws of England 4th Edition reissue 1989 vol.3(1) para 191** cited with approval by the High Court The Cooperative Bank Ltd (In Liquidation) v. Christopher Kisembo & Another, H.C.C.S No. 398 of 2002**,** explains that a lien connotes the right of a banker to retain the subject matter of the lien until an indebtedness of the customer is paid or discharged. However, it a re-echoed position is the law that the bank cannot have a lien on its Customer's credit balance for reason among others that money is not capable of being earmarked. Thus in Re Morris Coneys v. Morris (1922) I.I.R. 136, the court specifically held that a banker has no lien in respect of a customer's account.

   Therefore, dwelling on the present facts, Stanbic bank cannot under the law discussed above exercise a lien in respect of Papa Johnson's account balance.

4. ANSWERING ISSUE 4; Section 1(i) of the Bills of Exchange Act cap 68, defines a holder to mean the payee or endorsee of a bill or note who is in possession of it, or the bearer of a bill or note. Section 28 (1) thereof defines a holder in due course as a holder who has taken a bill, complete and regular on the face of it, under the following conditions namely; that he or she became the holder of it before it was overdue, and without notice that it had been previously dishonored, if that was the fact; that he or she took the bill in good faith and for value, and that at the time

<u>the bill was negotiated to him or her he or she had no notice of any defect in the title of the person who negotiated it</u>.

Putting into context the present facts, Papa Johnson forged Abdullahi's endorsement and transferred the cheque to himself, which connotes that he had notice of the defect in the title by the fact that the endorsement was made by him. This in a sense means that Papa Johnson is not a holder in due course per the definition under Section 28 of the Bills of Exchange Act and thus lacks capacity to sue the drawer of the bill (Mahmoud).

5. I would conclude by advising the parties in the following way;

a) Nancy – that she lost her right to recourse due to her delay in giving Busia High School a notice of dishonour as provided in the provisions of the law discussed in resolving issue one.
b) Papa Johnson – that he can't succeed in suing Stanbic Bank for failing to collect his money due to the fact that the same was countermanded by DJ Khalid not to pay the cheque.
c) Stanbic Bank – that it has no ground under the law to exercise a lien on Papa Johnson's Account Balance but instead it can opt for other ways like putting a caveat on the land whose title it's in possession of
d) Papa John – that he is not a holder in due course as per the law discussed herein above and as such has no cause of action against Mahmoud (Drawer).

PROBLEM QUESTION TWO

Brief Facts:

1. Sebunya Kavuyo (Kavuyo) obtained a credit facility amounting to UGX 4,000,000,000 from ABC Bank to boost his ever-growing business. When he defaulted on his obligation to repay back the loan. ABC management published Kavuyo's account details in the Red pepper a local newspaper and as a result of this Kavuyo has lost a substantial number of his esteemed clients.

2. In the meantime, the Chief Magistrate's Court at Makindye issued an order directing ABC Bank to disclose account details of one its customers COWE. Because COWE'S account number resembles that of Kavuyo, ABC Bank ended up disclosing the account details of Kavuyo. As a result of this Kavuyo was prosecuted and convicted basing on details from an account which was not his.

3. To compound matters, on 15th January, 2021 Kavuyo wrote to ABC Bank demanding for his account statements but up to this day the Bank has neither availed the statements nor has it given reasons for not doing so.

Legal issues:

1. WHETHER ABC BANK HAD AUTHORITY TO PUBLISHED KAVUYO'S ACCOUNT DETAILS IN THE RED PEPPER?
2. WHETHER ABC BANK BLEACHED ITS DUTY TOWARD KAVUYO?
3. WHETHER ABC BANK IS UNDER OBLIGATION TO AVAIL KAVUYO HIS ACCOUNT STATEMENTS?

Laws Applicable:

1. THE 1995 CONSTITUTION OF REPUBLIC OF UGANDA [AS AMENDED].
2. THE FINANCIAL INSTITUTIONS ACT, 2004 [AS AMENDED].
3. BANK OF UGANDA FINANCIAL CONSUMER PROTECTION GUIDELINES, 2011
4. ALL RELEVANT CASE LAWS.

Applicability of Law:

1. ANSWERING ISSUE 1: Under paragraph 6(1)(b)(i) of the Bank of Uganda Financial Consumer Protection Guidelines, 2011, a financial services provider (which is defined under Paragraph 3 to mean a bank) is mandated not to engage in

unfair, deceptive or aggressive practices such as threatening, intimidating, being violent towards, abusing, or humiliating a consumer.

As per the facts at hand, ABC Bank by publishing Kavuyo's bank details in the Red pepper intended to "arm twist" him into paying his loan debt. Considering the position of the law discussed above, the bank's acted illegally and with no authority.

2. CONSIDERING ISSUE 2: The known position of the law as was held in a locus classicus case of Tournier v. National Provincial and Union Bank of England (1924) 1 KB 46, is that a bank has a duty of Secrecy/Confidentiality towards its customer that is not to disclose any information concerning the affairs of the customer without his consent. This duty is currently protected by the Bank of Uganda Financial Consumer Protection Guidelines, 2011 under Paragraph 7(3). However, this duty may be suspended where an order of court is issued in respect of the same as was held in Bucknell v Bucknell (1969) 1 WLR 1204.

   Considering the facts at hand, though a court order was issued which would as discussed above, suspend the duty; it was in respect of COWE's account and not Kavuyo's. Hence the bank by disclosing Kavuyo's account details acted below the standard of care required of in exercising its duty towards its customer and as such ABC Bank breached the duty of secrecy/confidentiality owed to it by Kavuyo.

3. RESOLVING ISSUE 3; among the duties that a bank has towards its customer, is the duty to correctly inform its Customer of the state of his/her account. This duty is imposed by the Bank of Uganda Financial Consumer Protection Guidelines, 2011 under Paragraph 6(7) where it is expressly provided that where a consumer has a bank account or a loan with a financial services provider, the financial services provider shall provide the consumer with statements of his or her bank account or loan account showing what transpired since the last statement that affected the account of the consumer, including balance changes, payments, disbursements and costs.

   It is also a replica of an observation which was made by His Lordship Hon. Justice Geoffrey Kiryabwire in the case of **Obed Tashobya v. DFCU Bank Ltd H.C.C.S No. 742 of 2004**; that the Defendant's conduct of making the Plaintiff to believe that the suit cheque had been cleared, whereas not was in breach of the defendant's duty to correctly inform its customer of the state of his account.

   Thus putting the present facts into context, ABC Bank is under a duty to avail its customer (Kavuyo) with his account statements.

4. I would conclude by advising the KAVUYO to bring an action against ABC Bank for the following reasons;

   a) Illegally publishing his account details in Red pepper with an intention of intimidating him, being violent towards him, abusing or humiliating him contrary to Paragraph 6(1)(b)(i) of the Bank of Uganda Financial Consumer Protection Guidelines, 2011.

   b) Illegally disclosing his account details under mistaken belief that they are for COWE, leading to his wrongful prosecution and conviction.

   c) Failure to avail him with his account statement contrary to Paragraph 6(7) of the Bank of Uganda Financial Consumer Protection Guidelines, 2011.